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Element Solutions Credit Drivers



Ilona Ioffe
Team: Credit
BI Senior Credit Analyst

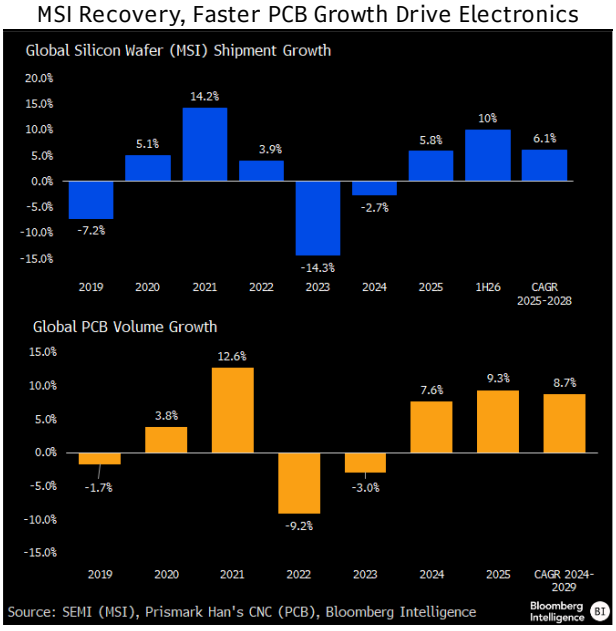
Element Solutions' Electronics Momentum Meets M&A Discipline

(Bloomberg Intelligence) -- Element Solutions' medium-term credit profile is supported by improving momentum in its Electronics business in multiple areas including semiconductor recovery, printed circuit board growth and long term AI/data-center demand. Financial policy has remained disciplined, with M&A largely focused on bolt-ons and leverage around 3x, broadly managed within stated targets. Yet available debt-covenant capacity leaves room for larger transactions and potential releveraging. (10/08/26)

1. Multiple Areas of Demand Align for Electronics Growth

Element's electronics business is positioned to benefit from improving demand across the value chain, spanning front-end semiconductor activity through downstream interconnect and board assembly. Within the product mix, the smaller semiconductor portion is tied to global silicon wafer shipments (MSI), while the larger downstream mix is driven by printed circuit board (PCB) fabrication and board assembly. MSI has recovered from the 2023 semiconductor downturn and is projected to grow at about a 6.1% compound annual growth rate (CAGR) in 2025-28. The PCB-driven mix is expected to grow faster, with global PCB volume, measured in square meters, forecast at about an 8.7% CAGR in 2024-29. Growth is stronger still in Element's advanced PCB categories, including 18+ layer boards, HDI and package substrates. Based on our aggregation of Prismark's individual forecasts, we calculate these categories will grow at a combined 14.6% CAGR in 2024-29. AI infrastructure demand is fueling this outsized growth through higher layer counts, denser interconnect and greater packaging complexity. (10/08/26)

MSI Recovery, Faster PCB Growth Drive Electronics



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2. Credit Gap to Peers Narrower Than Headline Metrics Suggest

On a normalized basis, Element's credit profile screens materially closer to electronic-materials peers than headline operating metrics suggest. While the peer set spans different points of the value chain -- Entegris and Merck Electronics skew more toward front-end semiconductor manufacturing, Qnity combines semiconductor materials with interconnect and advanced packaging, and Element extends further downstream into packaging, PCBs, assembly and components. We view these peers as more relevant than broader chemicals. Pass-through metals distort Element's reported margin profile. Our 2026 consolidated Ebitda margin of 19% rises to 26% excluding pass-through metals, while Electronics segment Ebitda reaches 28% on the same basis, materially narrowing the gap to peers. The remaining profitability difference largely reflects Element's broader downstream mix and the 25% contribution from lower-margin Specialties. Yet we note that Element operates with materially lower capital intensity than peers. This is reflected by its more asset-light, downstream-weighted model than peers with greater front-end exposure and heavier investment requirements. (10/08/26)

Ex-Metals Profile Improves Comparability vs. Peers

FY'26E (1) All in US $	Element (ESI) Legacy	Entegris	Qnity	Merck KGAA Electronics
Revenue	3,710	3,570	5,640	4,002
Revenue Growth Y/Y	14.0%	11.7%	18.6%	8.2%
Revenue Growth in FY'25	3.8%	-1.0%	9.7%	-1.4%
EBITDA	705	1,024	1,705	1,189
EBITDA %	19.0%	28.7%	30.2%	29.7%
EBITDA % (ex Metals Revenue)	25.1%	28.7%	30.2%	29.7%
R&D % Revenue	2.3%	9.5%	7.0%	8.3%
Capex % Revenue	2.8%	6.7%	8.0%	13.1%
FCF	264	433	634	N/A
FCF % Debt	12.4%	12.4%	15.5%	N/A
FCF % Revenue (ex Metals Revenue)	9.4%	12.1%	11.2%	
Gross Leverage	3.0	3.4	2.4	N/A
Net Leverage	2.6	2.9	1.7	N/A
EV/EBITDA X	15.6	27.8	17.8	N/A
Spread/Unsec Leverage	46	38	66	N/A

(1) Revenue and EBITDA based on consensus; rest of metrics modeled by BI.

Source: Bloomberg Intelligence

Bloomberg Intelligence BI

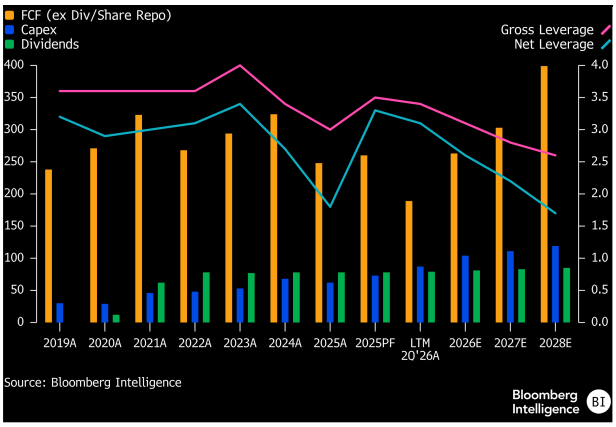
3. M&A Flexibility Balanced by Leverage Discipline

Since the 2019 portfolio transformation, Element has maintained a relatively disciplined capital structure, with leverage generally around 3x, free-cash-flow conversion near 50% and FCF to debt typically in the mid-teens. We view 2Q26 last 12-month cash-flow metrics as somewhat distorted by metals pass-through volatility and acquisition timing, particularly following its purchase of Micromax. M&A remains a core allocation tool, but post-2019 deals have generally been bolt-on rather than transformational, with management willing to pause repurchases and use divestiture proceeds to help fund acquisitions. Ahead of the $870 million Micromax and EFC acquisitions, Element partly offset leverage pressure with the $325 million MacDermid Graphics Solutions sale. After Solstice's proposed acquisition of Element was mutually terminated, we expect Element to continue pursuing electronics-focused bolt-on M&A. In the near-term, capital spending will rise to 3% of sales from a historical mid-2% level on higher investments, but the capital-light model and solid cash conversion can support deleveraging following potential bolt-on M&A. We would note that, while financial policy has been disciplined and management has cited a 3.5x leverage ceiling, the credit agreement provides additional releveraging capacity, with acquisition-related debt subject to a 5.0x pro forma total-net-leverage incurrence test. (10/08/26)

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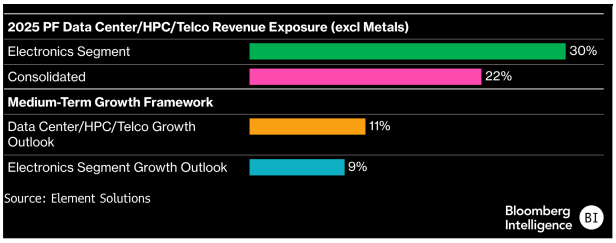
FCF and Capital Allocation



4. AI Data-Center Demand Spurs Electronics Growth

Element is benefiting from a recovery in semiconductor and broader electronics demand, alongside accelerating AI/data-center expansion. This is evident in the Electronics segment organic sales growth of 10% in 2025 and 17% in 1H26, vs. mid-single-digit growth in 2022-25. Data centers, high performance computing (HPC) and telecommunications have become an increasingly important growth driver, rising from roughly high-single digits of Electronics sales in 2021 to about 30% of 2025 pro forma Electronics excluding metals sales, or 22% on a consolidated basis, including specialties. Element is benefiting from AI demand across the value chain, including advanced packaging and substrates, high-layer-count PCBs, thermal management and board assembly, where increasing system complexity is driving greater materials content. Management targets 11% through-cycle growth for Data Center/HPC/Telco, supporting roughly 9% medium-term Electronics growth and 7% consolidated organic growth. The medium-term outlook remains below recent Electronics growth trends, providing a cushion for potential moderation in AI-driven demand. (10/08/26)

AI Infrastructure Accelerates Electronics Growth



5. Electronics Breadth Supports a More Defensive Profile

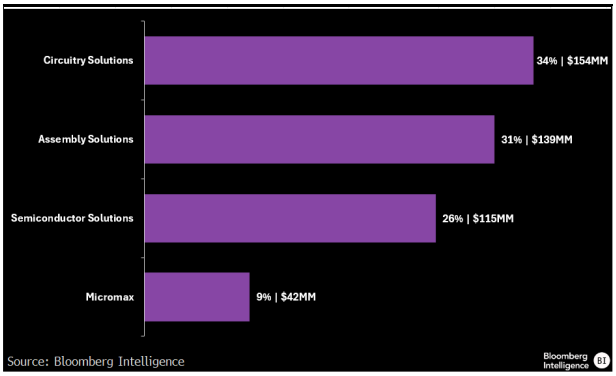
We view Element's diversification across the electronics value chain as a credit strength. Its Electronics profile spans front-end semiconductor through packaging, PCB fabrication, assembly and components. While weighted more heavily downstream, the mix remains diversified across Circuitry, Assembly, Semiconductor Solutions and Micromax, with semiconductor exposure further divided between wafer-level packaging and semiconductor assembly. Diversification also extends to the customer base, including printed circuit board (PCB) fabricators, foundries/IDMs, OSATs, assemblers and component manufacturers, with no material single-customer concentration. Combined with a largely consumables-driven model, this further diversifies the credit profile. There is some end-market concentration in automotive, which represents 24% of pro forma 2025 Electronics excluding-metals sales. The risk is partly mitigated by the nature of that exposure, as rising vehicle-electronics

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content and electrification provide a secular content-growth component even as underlying vehicle production remains cyclical. (10/08/26)

2Q26 Electronics Revenue Mix, Ex. Metals Revenue



6. Stand-Alone Credit Metrics Could Support Rating Improvement

Following termination of Solstice's proposed acquisition of Element Solutions, Element retains solid stand-alone credit metrics, with free cash flow to debt generally in the mid-teens and leverage around 3.0x, against management's 3.5x leverage commitment. Weaker 2Q26 LTM cash flow may be largely temporary, reflecting elevated working capital from metals pass-through and acquisition timing. We see Moody's as having the more plausible path to upgrade the company, as our forecast for leverage to fall below 3.0x, absent major M&A, would align with that rater's quantitative thresholds. Capital-structure mix remains the main constraint given the existing term loan and Moody's preference for a more unsecured funding profile. S&P upgraded Element in April 2026, before the Solstice deal announcement. We see a further upgrade as unlikely in the medium term given the additional 100-200 bps of margin expansion required, which we don't expect, assuming no material M&A or other business portfolio reshaping initiatives. (10/08/26)

Element Solutions Rater Targets

	Moody's	S&P
Outlook	STABLE	Stable
Unsecured Debt Rating	B1	BB+
Upgrade Triggers:	**Moody's adj. leverage <3.0x**	**Lower net leverage below 3.5x target**
	Retained Cash Flow (RCF)/net debt >25%	Funds from Operations(FFO)/debt > 30%
	Move to Unsecured Cap Structure	Mid-Single Digit Organic Revenue Growth
		Ebitda marging expansion of 100-200 bps
Downgrade Triggers:	**Moody's adj. leverage > 4.0x**	
	Sustained Negative Free Cash Flow	Funds from Operations (FFO)/debt < 20%

Source: Bloomberg Intelligence

Bloomberg Intelligence

To contact the analyst for this research:

Ilona Ioffe at iioffe2@bloomberg.net

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